5-year period described in the preceding paragraphs, adverse to defendants and to all other persons, and notified defendants of the same". (Comp. ¶14.) Plaintiff alleges that her use has been "actual, open, hostile, continuous and exclusive possession under a claim of right founded upon a written instrument (i.e. the above-described Deed) and by way of improvement to the property". (Comp. ¶12.) For the declaratory relief claim, Plaintiff seeks a judicial declaration as the rights of the parties to the property. (Comp. ¶19.)

Defendant demurs to both causes of action based upon the failure to state facts sufficient to state a cause of action and on uncertainty. (Code of Civil Procedure section 430.10(e), (f).)

As to the quiet title claim, Defendant argues that it is uncertain because it combines two distinct causes of action: quiet title and adverse possession. A claim for quiet title based upon adverse possession is permitted. Code of Civil Procedure section 761.020 states what should be included in a quiet title complaint. Subsection (b) states in part that "[i]f the title is based upon adverse possession, the complaint shall allege the specific facts constituting the adverse possession." (Code of Civil Procedure section 761.020(b); see also, *Dimmick v. Dimmick* (1962) 58 Cal.2d 417, 421.)

Defendant also argues that the parties are joint tenants and thus, Plaintiff's use was not hostile to Defendant's ownership. "'The exclusive occupancy by a cotenant is deemed permissive; it does not become adverse until the tenant out of possession has had either actual or constructive notice that the possession of the cotenant is hostile to him.'" (*Dimmick, supra,* 58 Cal.2d at 422.) " 'Before title may be acquired by adverse possession as between cotenants, the occupying tenant must bring home or impart notice to the tenant out of possession, by acts of ownership of the most open, notorious and unequivocal character, that he intends to oust the latter of his interest in the common property. [Citations.] Such evidence must be stronger than that which would be required to establish a title by adverse possession in a stranger. [Citations.]'" (*Hunter v. Schultz* (1966) 240 Cal.App.2d 24, 28.)

Here, Plaintiff has alleged that she "has been in continuous possession during the 5-year period described in the preceding paragraphs, adverse to defendants and to all other persons, *and notified defendants of the same*". (Comp. ¶14 (emphasis added).) The Court finds that these allegations are sufficient to allege that Plaintiff notified Defendant of her hostile use of the property such that an adverse possession claim could be viable. The demurrer to the quiet title claim is overruled.

As to the declaratory relief claim, Defendant argues that the claim is duplicative of the quiet title claim. Plaintiff argues that the declaratory relief claim is distinct from the quiet title claim. The Court agrees that the declaratory relief claim could provide relief beyond what is sought in the quiet title claim. The demurrer to the declaratory relief claim is overruled.

12. 9:00 AM CASE NUMBER: C25-02669
CASE NAME: CORINNE REES VS. SAMIR ROHAYEM
***HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS**
FILED BY: ROHAYEM, SAMIR

TENTATIVE RULING:

The motion of defendants Samir Royahem, Michel Reyahem and Zmoonos, LLC for judgment on the pleadings is **granted without leave to amend** as to the first, ninth, tenth, and eleventh causes of action, and **denied** as to the second, third, fourth, fifth, seventh causes of action and as to claims against Michel Rehayem. Plaintiff's request to file a second amended complaint asserting a cause of action for wrongful foreclosure is **denied**.

I. Background

Plaintiff Corinne Rees is decedent Gregory Schoepp's sister and trustee of his living trust. Defendants are Samir Rohayem, his brother Michel Rehayem, and ZMoonos LLC, a California LLC of which Rohayem and Rehayem are alleged members. The FAC alleges alter ego between the individual defendants and ZMoonos. (FAC, ¶¶ 4-13.)

Decedent was paraplegic from a gunshot wound sustained at age 18, and as a result he used a wheelchair until his death at 64, which classified him as a dependent adult under Welfare and Institutions Code section 15610.23. Defendants were allegedly aware of his physical limitations, compromised health, recent hospitalizations, use of psychiatric and pain medications, and ongoing suicidal ideations, which decedent had expressly communicated to them. (*Id*., ¶¶ 16-17.)

In 2016 Rohayem through ZMoonos acquired a former bowling alley in Vallejo California, requiring extensive renovations, and decedent and Rohayem through ZMoonos entered into a commercial lease for three years with an option to purchase. On February 1, 2020, the parties executed a First Amendment extending the lease and granting decedent a new option to purchase at a staggered price culminating at approximately $3,575,000, expiring January 1, 2024. On December 30, 2021, the parties executed a Second Amendment in response to vandalism damage, revising the option to purchase price to approximately $2,825,000 if exercised between January 1 and December 31, 2022, and permitting ZMoonos to record two UCC-1 liens on a Trust business as security in the event decedent could not exercise the option. (*Id*., ¶¶ 18-20.)

In or around August 2022, Rohayem orally offered to reduce the purchase price to $2,000,000, which decedent accepted. By December 2022 decedent had invested over $1,000,000 of his own funds and completed approximately fifty percent of required renovations, relying on the understanding that he would soon own the bowling alley. In or around January 2023, decedent and Rohayem orally agreed that decedent could exercise the option by either paying $2,000,000 or, if unable, by transferring five real properties owned by the Trust to ZMoonos, secured by Performance Deeds of Trust. The five properties were located in Novato (two parcels), San Bruno, Cloverdale, and Santa Rosa. (*Id*., ¶¶ 21-22.)

From January to around June 2023 decedent continued renovations and paid rent, believing he would acquire the bowling alley. During this period his mental health sharply declined. He suffered severe depression, expressed suicidal ideations to family and physicians, and was hospitalized in July 2023 for his second major surgery in under a year which affected his ability to make fully informed business decisions. Decedent communicated his suicidal ideations to Rohayem, who allegedly disregarded and discredited his depressive state. While hospitalized, decedent was bedridden, unable to care for himself, administered psychiatric and pain medications, and continuously expressed a desire to end his life to family and physicians. (*Id.*, ¶¶ 23- 24.)

While decedent was in this compromised state, Rohayem visited him in the hospital and had him execute the Third Amendment to the commercial lease and the five PDOTs. Decedent was allegedly not given a reasonable opportunity to review these documents. Rohayem allegedly represented to decedent that signing the Third Amendment and PDOTs guaranteed his eventual ownership of the bowling alley, either by paying $2,000,000 or by ZMoonos foreclosing on the real properties as previously agreed. Rohayem and Rehayem each separately secured additional debts of over $100,000 against two other residential properties owned by decedent and foreclosed on those instruments after his death. (*Id*., ¶ 25-27.)

On August 23, 2023, less than one month after executing the Third Amendment and PDOTs, decedent died by suicide while still hospitalized, having suffered severe pain and emotional harm prior to his death. (*Id.*, ¶ 28.)

Rather than transferring the bowling alley to decedent's estate or Trust as allegedly agreed, Rohayem through ZMoonos retained title and initiated nonjudicial foreclosure on the real properties. In or around March 2025 the bowling alley was sold for approximately $1,200,000 and defendants kept the proceeds. On December 27, 2023, Rohayem as ZMoonos submitted a creditor's claim demanding satisfaction of a purported $3,000,000 liability secured by the PDOTs. Plaintiff as trustee formally rejected this claim on June 18, 2024. Despite the rejection, defendants proceeded with nonjudicial foreclosure, completed between June and August 2024, transferring four of the five real properties to Rohayem as ZMoonos. The fifth property was sold to a third party with defendants retaining proceeds in excess of $600,000. (*Id*., ¶¶ 29-31.)

It was not until July 2025 that Rohayem disclosed to plaintiff that the Third Amendment and PDOTs were executed as consideration for decedent to obtain title to the bowling alley if he could not pay $2,000,000, and plaintiff alleges she did not discover this agreement or its full impact until that disclosure. Plaintiff seeks economic, compensatory, special, and general damages, punitive damages, rescission of the PDOTs, imposition of a constructive trust over properties still held by defendants and proceeds from the bowling alley sale, pre-death pain and suffering damages, prejudgment interest, and attorney's fees and costs. (*Id*., ¶ 33 and Prayer, Nos. 1-10.)

The FAC contains eleven causes of action. The first and second allege fraud based on negligent and intentional misrepresentation, both arising from Rohayem's alleged representation in July 2023 that decedent would receive the bowling alley in exchange for either $2,000,000 or the real properties, which plaintiff contends was false because defendants never conveyed the bowling alley after decedent's death. (FAC, ¶¶ 34-50.) The third and fourth allege breach of oral and implied contract based on the same July 2023 agreement under which decedent provided the executed Third Amendment, PDOTs, and over $1,000,000 in renovation work as consideration for the promise to convey the bowling alley. (*Id*., ¶¶ 52-68.) The fifth alleges promissory estoppel, contending defendants were unjustly enriched by retaining the bowling alley proceeds, four real properties through foreclosure, and over $600,000 from the sale of the fifth property. (*Id*., ¶¶ 70-78.) The sixth alleges financial dependent adult abuse under Welfare and Institutions Code section 15610.30, asserting defendants procured the PDOTs and Third Amendment through undue influence thereby depriving decedent of the right to make testamentary dispositions of his property. (*Id*., ¶¶ 80-87.) The seventh and eighth seek rescission of the PDOTs based on fraud and undue influence respectively, and the imposition of a constructive trust. (*Id*., ¶¶ 88-108.) The ninth, tenth, and eleventh causes of action are for negligence, intentional infliction of emotional distress, and wrongful death arising from defendant's visit to the hospital and procurement of documents from decedent while he was in a compromised state and experiencing suicidal ideation. (*Id*., ¶¶ 109-122.)

On January 29, 2026, the court granted plaintiff's motion for trial preference, setting the matter for jury trial on April 6, 2026, with an issue conference on March 20, 2026.

On February 10, 2026, defendants filed this motion for judgment on the pleadings in which they argue that nine of the eleven causes of action alleged in the FAC fail as a matter of law. Defendants further argue that all claims against Michel Rehayem should be dismissed.

Plaintiff filed an opposition on March 6, 2026, concurrently with a motion for leave to file a Second Amended Complaint, which obtained a hearing date of May 28, 2026. Because that hearing date fell after the preferential trial date, plaintiff filed an ex parte application to advance the hearing on the motion to amend, which the court denied.

II. Legal Standard

A motion for judgment on the pleadings "performs the same function as a general demurrer and hence attacks only defects disclosed on the face of the pleadings or by matters that can be judicially noticed." (*Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057, 1064; see *Fire Ins. Exchange v. Superior Court* (2004) 116 Cal.App.4th 446, 452.)

III. Requests for Judicial Notice

Defendants' unopposed request for judicial notice of Exhibits 1 through 12 is granted. The court takes judicial notice of the existence and content of these documents though not of disputed or disputable facts stated therein. The request for judicial notice of Exhibit 13 is denied. The exhibit consists of an unfiled complaint which is not subject to judicial notice under Evidence Code section 452(d), as well as deeds of reconveyance whose relevance to the motion is not clear.

Plaintiff's unopposed request for judicial notice of Exhibits A through H is granted. Exhibits A through C are records of the Marin County Superior Court and are judicially noticeable under Evidence Code section 452(d). They establish the notice to creditors filed November 13, 2023, the creditor's claim filed by ZMoonos on January 2, 2024, and the rejection of that claim filed June 18, 2024. Exhibits D through H are notices of trustee's sale recorded in the official records Marin, San Mateo, and Sonoma counties and are judicially noticeable. (See Evid. Code § 452(c), (h); *Yvanova v. New Century Mortg.*

Corp. (2016) 62 Cal.4th 919, 924 fn.1.) The court takes judicial notice of the existence and content of these documents though not of disputed or disputable facts stated therein.

IV. Analysis

A. The First Cause of Action for Negligent Misrepresentation

Defendants argue the first cause of action fails because the alleged representation, that defendants would convey the bowling alley in exchange for $2,000,000 or the real properties, is a promise of future performance rather than a statement of existing fact, and California does not recognize a cause of action for negligent false promise. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 159.)

Tarmann states: "To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promisee to do or not do a particular thing. Given this requirement, an action based on a false promise is simply a type of intentional misrepresentation, i.e., actual fraud. The specific intent requirement also precludes pleading a false promise claim as a negligent misrepresentation, i.e., 'The assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true.' (Civ. Code, § 1710, subd. (2).) Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise. Moreover, we decline to establish a new type of actionable deceit: the negligent false promise." (*Tarmann*, *supra*, 2 Cal.App.4th at pp. 158-159.)

Paragraph 35 of the FAC alleges that Rohayem misrepresented the material facts of decedent's option to purchase, specifically that decedent would receive the bowling alley in exchange for either $2,000,000 or the real properties. Paragraph 36 alleges the representation was false because defendants never transferred the bowling alley after decedent's death when he was unable to pay the $2,000,000. Under *Tarmann*, a false promise to perform cannot support a cause of action for negligent misrepresentation.

The motion is granted as to the first cause of action.

B. The Second Cause of Action for Intentional Misrepresentation and Seventh Cause of Action for Rescission

Defendants contend that, when alleged fraud is based on an agreement, mere non-performance is insufficient to establish a claim for fraud. "A promise of future conduct is actionable as fraud only if made without a present intent to perform . . . something more than nonperformance is required to prove the defendant's intent not to perform his promise. . . . '[I]f plaintiff adduces no further evidence of fraudulent intent than proof of nonperformance of an oral promise, he will never reach a jury.'" (*Magpali v. Farmers Grp., Inc.* (1996) 48 Cal.App.4th 471, 480-481 [promise not to interfere with plaintiff's business was true when made, as evidenced by its being kept for many years, and so not basis for fraud, even though subsequent events caused defendant to interfere].)

The FAC alleges the following facts in support of the intentional misrepresentation claim. In or around July 2023 Rohayem misrepresented to decedent the material terms of the option to purchase, that decedent would receive the bowling alley in exchange for either $2,000,000 or the real properties. (FAC ¶ 44.) This representation was made while decedent was admitted to the hospital for his second surgery in under a year, confined to a bed, experiencing severe depression and suicidal ideations, and being administered various psychiatric and pain medications. (*Id*., ¶ 45.) Rohayem knew or had reason to know the representation was false because defendants never transferred the bowling alley to decedent's estate or the Trust after his death when he was unable to pay the $2,000,000. (*Id*., ¶ 46.) Rohayem deliberately misrepresented the material terms of the option to purchase to induce decedent to sign the Third Amendment and the PDOTs, thereby providing ZMoonos with control over the disposition of the real properties. (*Id*., ¶ 47.) Decedent relied to his detriment by signing the Third Amendment and the PDOTs. (FAC, ¶ 48.) Defendants' conduct was willful, oppressive, fraudulent, reckless, and malicious, done without legal justification, and defendants intended to benefit in conscious disregard of plaintiff's rights. (FAC ¶ 51.)

Intent to defraud can be based upon reasonable inferences. (*Miller v. National American Life Ins. Co.* (1976) 54 Cal. App. 3d 331, 338.) Here, the FAC's allegations are sufficient to support the second cause of action. Paragraph 47 alleges that Rohayem deliberately misrepresented the material terms to induce decedent to sign, and a deliberate misrepresentation made to induce action is not a promise made with honest intent to perform. The circumstances under which the representation was made (visiting decedent in the hospital while he was bedridden, medicated, severely depressed, and experiencing suicidal ideations, and procuring his signature on documents encumbering five Trust properties) are circumstances from which a jury could find that the promise was made without the present intention to perform.

Defendants additionally argue that the intentional misrepresentation claim will fail because the FAC identifies Rohayem's July 2025 deposition testimony as the sole evidentiary basis for the claim. The court does not find this argument to be persuasive. The FAC does identify Rohayem's July 2025 deposition testimony as the source of plaintiff's discovery of the agreement at paragraph 32, but that paragraph is the delayed discovery allegation, not an identification of the sole evidentiary basis for the fraud cause of action.

The motion is denied as to the second cause of action and the derivative seventh cause of action.

C. The Third, Fourth and Fifth Causes of Action

Defendants argue that the third, fourth, and fifth causes of action for breach of oral contract, breach of implied contract, and promissory estoppel are barred by the statute of frauds under Civil Code section 1624.

"The statute of frauds provides that any agreement for 'the sale of real property, or of an interest therein' is invalid unless it is 'in writing, subscribed by the party sought to be charged.' (Civ. Code, §

1624, subd. (a)(3).)." (*Smyth v. Berman* (2019) 31 Cal.App.5th 183, 197).) "In California an option to purchase real property has been held to come within the statute of frauds and so must be in writing." (*Pacific Southwest Development Corp. v. Western Pacific Railroad Co.* (1956) 47 Cal.2d 62, 66.)

The oral agreement alleged here falls within the statute of frauds. The motion is nevertheless denied because the FAC alleges sufficient facts to support the part performance and equitable estoppel exceptions to the statute.

"The doctrine of part performance by the purchaser is a well-recognized exception to the statute of frauds as applied to contracts for the sale or lease of real property." (*Sutton v. Warner* (1993) 12 Cal.App.4th 415, 422.) Either partial payment of the purchase price or the making of substantial improvements on the property will satisfy it. (*Ibid.*) The relevant acts must unequivocally refer to the contract or clearly relate to its terms. (*In re Marriage of Benson* (2005) 36 Cal.4th 1096, 1109.) The FAC alleges that decedent invested over $1,000,000 of his own funds in renovations to the bowling alley and completed approximately fifty percent of the required work in reliance on the oral agreement that he would acquire the property. (FAC ¶¶ 21, 56.) That allegation satisfies the part performance exception. The FAC further alleges that decedent executed five Performance Deeds of Trust encumbering Trust real properties as the agreed alternative consideration for the purchase, acts that are inexplicable except by reference to the oral purchase agreement. (FAC ¶¶ 22, 25, 54.) These allegations are sufficient to plead part performance.

A party may also be estopped from asserting the statute of frauds as a defense to a contract in order to “prevent fraud that would result from refusal to enforce [an] oral contract[].” (*Monarco v. Lo Greco* (1950) 35 Cal.2d 621, 623–624.) Before estoppel applies, the party so pleading must allege that refusal to enforce the oral contract will result in (1) “unconscionable injury” because the party pleading estoppel “seriously … change[d] [its] position in reliance on the [oral] contract,” or (2) the “unjust enrichment” of the party pleading the statute of frauds as a defense because that party “received the benefits of the other's performance.” (*Monarco*, at pp. 623–624; see also, *Tenzer v. Superscope* (1985) 39 Cal.3d 18, 27.)

Both conditions are met on the face of the FAC. Plaintiff alleges the decedent changed his position in reliance on the oral agreement by expending over $1,000,000 in improvements and encumbering five Trust properties. (FAC, ¶¶ 21, 22, 25.) Defendants, having accepted the benefit of those encumbrances, then used the PDOTs to foreclose on four properties and retain over $600,000 in proceeds from the sale of the fifth, while also retaining the bowling alley and its approximately $1,200,000 sale proceeds. (*Id.*, ¶¶ 29-31.)

The motion is denied as to the third, fourth, and fifth causes of action.

D. The Ninth, Tenth and Eleventh Causes of Action

The ninth, tenth, and eleventh causes of action for negligence, intentional infliction of emotional distress, and wrongful death all based on allegation that defendants visited decedent in the hospital while knowing he was in a medicated and emotionally vulnerable state, presented him with documents doubling his liability and securing it against his real properties, and that this conduct caused the decedent's death by suicide.

Defendants argue the claims fail because California law imposes no duty to prevent self-harm absent a special relationship, and that the relationship alleged here does not give rise to such a duty. Defendants further argue that the conduct alleged does not rise to the level of extreme and outrageous conduct required to state a claim for intentional infliction of emotional distress.

Generally, one is ordinarily not liable for the actions of another and is under no duty to protect another from harming himself or herself, "in the absence of a special relationship of custody or control." (*Nally v. Grace Community Church* (1988) 47 Cal.3d 278, 293.) For instance, a duty to prevent a person from harming him or herself, such as suicide, exists "only when a special relationship existed between the suicidal individual and the defendant or its agents." (*Ibid*.) In this context, a special relationship is one in which the "plaintiff is particularly vulnerable and dependent on the defendant, who, correspondingly, has some control over the plaintiff's welfare." (*Carlsen v. Koivumaki* (2014) 227 Cal.App.4th 879, 893.)

Here, plaintiff does not allege facts showing that decedent was dependent on defendants or that they had any control over his welfare. A commercial landlord and business associate does not stand in the kind of custodial, therapeutic, or supervisory relationship that California courts have recognized as giving rise to an affirmative duty to prevent self-harm. Absent a legally cognizable duty, the negligence and wrongful death claims fail as a matter of law. The intentional infliction of emotional distress claim fails because presenting business documents in the context of an ongoing commercial relationship, however troubling the circumstances, does not constitute conduct so extreme as to exceed all bounds tolerated in a civilized community and plaintiff does not sufficiently allege that defendants engaged in outrageous conduct that caused the decedent to harm himself. (*Nally v. Grace Community Church*, *supra*, 47 Cal.3d at pp. 300-301.)

Plaintiff's opposition concedes that the motion may be granted as to these claims, stating that the proposed Second Amended Complaint submitted with the opposition omits them, and plaintiff agrees to their dismissal.

The motion is granted as to the ninth, tenth, and eleventh causes of action without leave to amend. However, as discussed below, the court denies plaintiff's request to file an amended complaint.

E. Motion as to Michel Rehayem

Defendants argue that judgment on the pleadings should be granted in favor of defendant Michel Rehayem as to all causes of action because the FAC does not allege that he made any representation, entered into any agreement with Decedent, visited Decedent in the hospital, procured any documents, or otherwise engaged in conduct giving rise to liability. Instead, Plaintiff relies on generalized allegations that Rehayem is an alter ego of the other defendants.

Two factors must be shown before an individual will be held liable for the actions of the corporation under an alter ego theory: "(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow." (*Automotriz Del Golfo De California S.* A. *De C. V. v. Resnick* (1957) 47 Cal.2d 792, 796.) Factors courts consider in determining whether the first factor is met include commingling of personal and corporate funds and assets, diversion of corporate assets or funds to personal use, treatment of corporate assets as personal assets, sole ownership of the corporation by one individual, absence of corporate assets, gross undercapitalization, and disregard of corporate formalities. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 417-418.) "'No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied.' [Citation.]" (*Shaoxing County Huayue Import & Export v. Bhaumik* (2011) 191 Cal.App.4th 1189, 1198.)

To allege alter ego, a plaintiff is required to allege only "ultimate facts, rather than evidentiary facts." (*Rutherford Holdings, LLC v. Plaza del Rey* (2014) 223 Cal.App.4th 221, 236). "Moreover, less particularity of pleading is required where the defendant may be assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff," (*id*.), which is true with alter ego allegations.

The FAC alleges that Rohayem and Rehayem are both members of ZMoonos, are its alter egos with a unity of interest and ownership such that any individuality or separateness between them has ceased, that ZMoonos is a mere shell and instrumentality through which they carried on their business exactly as they would have had no entity existed, that they commingled their assets with ZMoonos, controlled its finances entirely, and treated its assets as their own, and that adherence to the fiction of ZMoonos's separate existence would sanction fraud, promote injustice, and produce an inequitable result by permitting Rohayem and Rehayem to escape liability. (FAC, ¶¶ 9-13; see also, ¶14 [alleging liability based on a joint enterprise].)

These allegations are sufficient to state a basis for alter ego liability. Whether plaintiff can prove either theory is a question for trial. The motion by Defendant Michel Rehayem is therefore denied.

F. Plaintiff's Request to File a Second Amended Complaint

Plaintiff seeks leave to add a cause of action for wrongful foreclosure premised on the theory that defendants' voluntary election into the optional trust claims procedure under Probate Code section 19255, followed by their failure to file an action within 90 days of plaintiff's rejection of the creditor's claim, irrevocably extinguished both the underlying debt and the PDOTs as security instruments, rendering the subsequent nonjudicial foreclosures void.

Specifically, Plaintiff argues that defendants are barred from asserting the underlying debt exists because they elected into the trust claims procedure, plaintiff rejected their creditor's claim on June 18, 2024, and defendants did not file a court action within 90 days. Probate Code section 19253(d) states "Notwithstanding the statute of limitations otherwise applicable to a claim, if an action on a rejected claim is not commenced. . . within the time prescribed in Section 19255, it is 'forever barred'." (*Id*., § 19255; *Dobler v. Arluk Medical Center Industrial Group, Inc.* (2001) 89 Cal.App.4th 530, 536.)

Plaintiff asserts that instead of litigating the merits of the alleged bowling alley debt underlying their creditors claim in the Optional Trust Claims Procedure, Defendants initiated non-judicial foreclosure proceedings after its claim was rejected by the Trustee. (Plf.'s RJN Exs. A-H and FAC, ¶¶ 30-31.) On this basis, Plaintiff seeks leave to amend their complaint to assert a cause of action for wrongful foreclosure.

Although defendants did not file a reply brief on the motion for judgment on the pleadings, which left plaintiff's opposition arguments on the wrongful foreclosure theory without a direct response in the context of this motion, defendants addressed the theory in their opposition to plaintiff's ex parte application to advance the hearing on the motion for leave to amend. In that opposition defendants argue that the wrongful foreclosure claim fails as a matter of law on two grounds. First, a nonjudicial trustee's sale conducted under a contractual power of sale is not an action within the meaning of Probate Code section 19253, so the bar on the judicial remedy does not reach the power of sale. Second, caselaw holds that even where a judicial remedy on a debt is barred by statute, the trustee's contractual power of sale is not extinguished. Defendants also note that the Marin County Probate Department allowed the foreclosures to proceed despite plaintiff's repeated attempts to enjoin them on this same theory, though they do not argue that those rulings have any preclusive effect here.

A trustee under a deed of trust who seeks to conduct a nonjudicial foreclosure is not required to bring a creditor's claim in the probate court or file a written notice waiving recourse against other estate property under section 9391. (*Cosentino v. Coastal Construction Co.* (1994) 30 Cal.App.4th 1712, 1715-1716.) Instead, the mortgagee forecloses under the power of sale in the deed of trust, no complaint is filed to enforce the obligation, and exercise of a power of sale is not an "action" under the Probate Code. (*Id*. at p. 1715.) *Cosentino* establishes that a secured creditor who fails to file a claim is not barred from exercising the power of sale, its recourse is simply limited to the security. Under Cosentino, a secured creditor who never files a claim retains the power of sale. It would be strange to hold that a creditor who does file a claim and fails to pursue its rejection is worse off than one who never participated at all.

Plaintiff contends that the bar extinguished the PDOTs as security instruments by operation of Civil Code sections 2909 and 2911. Civil Code section 2909 states that a lien is accessory to the obligation it secures, and plaintiff argues the PDOTs rose and fell with the underlying debt. Because Civil Code section 2911 provides that a lien is extinguished by the lapse of time within which an action can be brought on the principal obligation, plaintiff argues the PDOTs were extinguished once the debt was barred under the Probate Code.

Civil Code sections 2909 and 2911 address the right to bring a civil action to foreclose a deed of trust judicially. They do not address the nonjudicial power of sale. *Nicolopulos v. Superior Court* (2003) 106 Cal.App.4th 304, held that while a civil action to foreclose a deed of trust may be barred under section 2911, nonjudicial foreclosure proceedings under a power of sale are not. (*Id*. at 309-310; see also, *Trenk v. Soheili* (2020) 58 Cal. App. 5th 1033, 1041 [where a trust deed is involved, section 2911 applies only to the lien that is “enforceable through judicial foreclosure, and not the power of sale.”].)

Plaintiff's election of remedies argument does not persuade the court that a wrongful foreclosure claim is viable. Plaintiff’s cited cases, *Holt Manufacturing Co. v. Ewing* (1895) 109 Cal. 353 and *Smith v. Greenfield State Bank* (1963) 222 Cal.App.2d 869 (coincidentally both involving harvesters), arose from conditional sales contracts where the seller retained title until the purchase price was fully paid. Upon the buyer's default and death, the seller faced two mutually exclusive remedies: repossess the goods on the theory that title never passed or file a probate claim for the purchase price on the theory that the sale was absolute. In *Holt* the seller filed a claim for the purchase price and then sought to repossess the harvester, and the Court held it was bound by its election. (*Holt*, *supra*, 109 Cal. at pp. 356-357.) In *Smith* the bank repossessed the harvester and two days later filed a creditor's claim for the full purchase price, and the court held the filing of the claim passed title to the estate, making retention of the harvester conversion. (*Smith*, *supra*, 222 Cal.App.2d at pp. 871-872.) As *Smith* recognized, the election of remedies doctrine "bars only inconsistent remedies, but where remedies are concurrent and consistent, a party may pursue one or all of them until satisfaction is had." (*Id.* at p. 871.) Defendants are not asserting contradictory positions. They are not claiming both that the Trust owes the debt and that they retain ownership of the secured properties.

Plaintiff argues “the subsequent decision of *Spears v. Spears* (2023) 97 Cal.App.5th 1294 is in accord” with *Holt* and *Smith* because “[t]he *Spear*s court held that when a trustee does not elect the optional procedure, a creditor may sue the trust directly without first proceeding against a probate estate.” (Opp. 5:19-21.) Plaintiff argues “[t]he inverse implication of the *Spears* decision is exactly the policy embodied in the *Holt* decision. By submitting to the Section 19000 process, the Defendants accepted a specific statutory bargain. Having failed to litigate the rejection within the 90-day window prescribed by Section 19255, they cannot then ‘detour’ back to a non-judicial process.” (*Id*., 5:22-25.)

Spears addressed whether a creditor could sue a trust directly when no probate has been opened and the trustee had not invoked the optional claims cutoff procedure in Probate Code sections 19000-19403 and held that direct suits are available in those circumstances. *Spears* is cited for the proposition that when a creditor invokes the claims procedure and then fails to pursue a rejected claim, it forfeits the power of sale under a deed of trust. However, the inverse implication plaintiff draws is not supported by the opinion.

The authorities establish that a secured lender can foreclose nonjudicially outside of the probate process, and nothing in plaintiff's briefing persuades the court that defendants waived that right or were bound to pursue the judicial remedy prescribed by the Probate Code after their claim was rejected. Leave to amend the complaint is denied because the court finds that the proposed amendment would be futile. (*Foxborough v. Van Atta* (1994) 26 Cal.App.4th 217, 230 [the trial court has discretion to deny leave where a proposed amendment fails to state a valid cause of action, and the defect cannot be cured].)

V. Disposition

Based on the foregoing, the motion for judgment on the pleadings is granted without leave to amend as to the first, ninth, tenth, and eleventh causes of action, and denied as to the second, third, fourth, fifth, and seventh causes of action, and as to claims against Michel Rehayem. Plaintiff's request to file an amended complaint asserting a cause of action for wrongful foreclosure is denied.

13. 9:00 AM CASE NUMBER: MSC21-00076
CASE NAME: VALDIVA VS. AYALA
***HEARING ON MOTION IN RE: ENTRY OF FINAL JUDGMENT**
FILED BY: VALDIVIA, ADRIANA
****TENTATIVE RULING:****

The Court continues the hearing on this motion to April 2, 2026 at 9:00 a.m.

14. 9:00 AM CASE NUMBER: N25-2407
CASE NAME: PETITION OF:CITY OF CONCORD
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: CITY OF CONCORD
****TENTATIVE RULING:****

Before the Court is an amended petition to compel arbitration and to consolidate separate arbitration proceedings ("Amended Petition"), filed by the City of Concord.

For the reasons set forth below, the Court's tentative ruling is to DENY the Amended Petition.

Background

Petitioner the City of Concord ("Petitioner") employs employees represented by the respondent Concord Police Association ("Respondent"). (Amended Petition, ¶ 1.) Respondent represents all full-time police officers and sergeants on all matters pertaining to their wages, hours and conditions of employment. (*Id*., at ¶ 2.) Officer One is a former Concord police officer and Officer Two is a former Concord police officer. (*Id*., at ¶¶ 3, 4.) A Memorandum of Understanding ("MOU") governs the relationship of Petitioner and Respondent. (*Id*., at ¶ 5.)

Officer One was dismissed from his position and through counsel requested arbitration pursuant to MOU section 17.11.4. (Amended Petition, ¶ 8.) Consistent with MOU section 17.11.6, the parties selected an arbitrator ("Arbitrator One") and commenced arbitration in person with Arbitrator One. (*Id*., at ¶ 9.) Following two days of hearing, Arbitrator One recused himself. (*Ibid*.) The parties made some offers to one another relating to how to proceed subsequent to Arbitrator One's recusal in the arbitration for Officer One but did not come to any agreement. (*Id*., at ¶¶ 10-11.) Petitioner asserts that it wants to hold a consolidated arbitration for Officer One and Officer Two with a newly selected arbitrator and represents that Officer One is now refusing to arbitrate Officer One's termination. (*Id*., at ¶ 11.)

Officer Two was dismissed from his position and through counsel requested arbitration pursuant to MOU section 17.11.4. (Amended Petition, ¶ 13.) Consistent with MOU section 17.11.6, the parties selected an arbitrator ("Arbitrator Two") with an arbitration scheduled to take place via videoconference. (*Id*., at ¶ 14.) Petitioner asserts that Arbitrator Two previously served as an